

**SUBSTITUTE FOR
HOUSE BILL NO. 5318**

A bill to amend 1933 PA 167, entitled
"General sales tax act,"
by amending sections 4o and 4q (MCL 205.54o and 205.54q), section
4o as amended by 2018 PA 249 and section 4q as amended by 2018 PA
530.

THE PEOPLE OF THE STATE OF MICHIGAN ENACT:

1 Sec. 4o. (1) ~~The~~ **Except as otherwise limited under this**
2 **subsection and subject to subsection (2), the** sale of ~~the first~~
3 ~~\$10,000.00 of tangible personal property in a calendar year for~~
4 ~~fund-raising purposes by a school, church, hospital, parent~~
5 cooperative preschool, or nonprofit organization that has a tax-
6 exempt status under section 4q(1)(a) or (b) ~~and that has aggregate~~
7 ~~sales at retail in the calendar year of less than \$25,000.00 are~~



1 **for the purpose of raising funds for the charitable purpose of the**
 2 **organization is** exempt from the tax under this act. **The exemption**
 3 **under this subsection is limited to \$75,000.00 in aggregate sales**
 4 **of tangible personal property for each individual fund-raising**
 5 **event, which amount must be adjusted for inflation as provided in**
 6 **subsection (5) .**

7 (2) A club, association, auxiliary, or other organization
 8 affiliated with a school, church, hospital, parent cooperative
 9 preschool, or nonprofit organization with a tax-exempt status under
 10 section 4q(1)(a) or (b) is not considered a separate person for
 11 purposes of ~~this~~**the exemption under subsection (1) .** ~~As used in~~
 12 ~~this section, "school" means each elementary, middle, junior, or~~
 13 ~~high school site within a local school district that represents a~~
 14 ~~district attendance area as established by the board of the local~~
 15 ~~school district.~~

16 (3) Except as otherwise limited under this subsection **and**
 17 **subject to subsection (4),** the sale of tangible personal property
 18 by a veterans' organization that is exempt from federal income tax
 19 under section 501(c)(19) of the internal revenue code **of 1986,** 26
 20 USC 501, for the purpose of raising funds for the benefit of an
 21 active duty service member or a veteran is exempt from the tax
 22 under this act. The exemption under this subsection is limited to
 23 ~~\$25,000.00~~**\$75,000.00** in aggregate sales of tangible personal
 24 property for each individual fund-raising event, **which amount must**
 25 **be adjusted for inflation as provided in subsection (5) .**

26 (4) A club, association, auxiliary, or other organization
 27 affiliated with a veterans' organization that is exempt from
 28 federal income tax under section 501(c)(19) of the internal revenue
 29 code **of 1986,** 26 USC 501, is not considered a separate person for



1 purposes of ~~this~~the exemption under subsection (3).

2 (5) At the end of each calendar year after the effective date
3 of the amendatory act that added this subsection, the state
4 treasurer shall adjust the amounts in subsections (1) and (3) by an
5 amount determined by the state treasurer to reflect the cumulative
6 annual percentage change in the Consumer Price Index. If the
7 cumulative annual percentage change in the Consumer Price Index is
8 negative, then the adjustment for that calendar year is zero.

9 (6) As used in this ~~subsection~~section:

10 (a) "Active duty" means active duty pursuant to an executive
11 order of the President of the United States, an act of Congress, or
12 an order of the governor.

13 (b) "Armed Forces of the United States" means the Army, Air
14 Force, Navy, Marine Corps, Coast Guard, or other military force
15 designated by Congress as a part of the Armed Forces of the United
16 States.

17 (c) "Consumer Price Index" means the most comprehensive index
18 of consumer prices available for this state from the Bureau of
19 Labor Statistics of the United States Department of Labor.

20 (d) "Fund-raising event" means a meeting, gathering, activity,
21 or occasion, regardless of whether conducted in person, virtually,
22 or through hybrid means and whether conducted on a single day or
23 over a period of time, at or through which a person solicits,
24 receives, collects, encourages, promotes, or facilitates the making
25 of contributions, donations, pledges, or other items of monetary or
26 in-kind value for the benefit of a person described in subsection
27 (1) or (3). Fund-raising event includes, but is not limited to, all
28 of the following:

29 (i) A reception, dinner, or banquet.



(ii) An auction, raffle, or sale of goods or services to raise money.

(iii) An online campaign.

(iv) A ticketed event.

(v) Any other event for which attendance, participation, or recognition is conditioned on or associated with the making or solicitation of a contribution or through which contributions are solicited or received by purchase of a ticket, payment of an attendance fee, making a donation, or purchase of goods or services.

(e) "School" means each elementary, middle, junior, or high school site within a local school district that represents a district attendance area as established by the board of the local school district.

(f) ~~(e)~~ "Service member" means a member of the Armed Forces of the United States, a reserve branch of the Armed Forces of the United States, or the National Guard.

(g) ~~(d)~~ "Veteran" means any of the following:

(i) ~~A person~~ **An individual** who served on active duty in the Armed Forces of the United States for a period of more than 180 days and separated from the Armed Forces of the United States in a manner other than a dishonorable discharge.

(ii) ~~A person~~ **An individual** discharged or released from active duty because of a service-related disability.

(iii) ~~A~~ **An individual who meets all of the following requirements:**

(A) Was a member of a reserve branch of the Armed Forces of the United States ~~at the time he or she~~ **when the individual** was ordered to active duty ~~pursuant to subtitle E of title 10 of the~~



~~United States Code, under~~ 10 USC 10001 to 18506. ~~, who served~~

(B) **Served** on active duty during a period of war, or in a campaign or expedition for which a campaign badge is authorized. ~~and was~~

(C) **Was** released from active duty in a manner other than a dishonorable discharge.

Sec. 4q. (1) ~~A-Subject to subsection (5), a~~ sale of tangible personal property not for resale to **any of** the following ~~, subject to subsection (5),~~ is exempt from the tax under this act:

(a) A health, welfare, educational, cultural arts, charitable, or benevolent organization not operated for profit that has been issued an exemption ruling letter to purchase items exempt from tax before July 17, 1998 signed by the administrator of the sales, use, and withholding taxes division of the department.

(b) An organization not operated for profit and exempt from federal income tax under section 501(c)(3) or ~~501(e)(4)-(4)~~ of the internal revenue code **of 1986**, 26 USC 501.

(c) An organization not operated for profit and exempt from federal income tax under section 501(c)(19) of the internal revenue code, 26 USC 501.

(2) The exemptions provided for in subsection (1) do not apply to any of the following:

(a) Sales of tangible personal property and sales of vehicles licensed for use on public highways that are not used primarily to carry out the purposes of the organization or to raise funds or obtain resources necessary to carry out the purposes of the organization as stated in the bylaws or articles of incorporation of the exempt entity.

(b) Sales of tangible personal property or vehicles used for



purposes of raising funds or obtaining resources if the sales price exceeds the following:

(i) ~~For an organization exempt under subsection (1)(a) or (b),~~
~~\$5,000.00.~~ **tangible personal property, \$60,000.00, adjusted for**
inflation as provided in subsection (6).

(ii) ~~For an organization exempt under subsection (1)(c),~~
~~\$25,000.00.~~ **vehicles, \$75,000.00, adjusted for inflation as provided**
in subsection (6).

(3) At the time of the transfer of the tangible personal property exempt under subsection (1), the transferee shall do 1 of the following:

(a) Present the exemption ruling letter signed by the administrator of the sales, use, and withholding taxes division of the department certifying that the property is to be used or consumed in connection with the operation of the organization.

(b) Present a signed statement, on a form approved by the department, stating that the property is to be used or consumed in connection with the operation of the organization, to carry out the purpose or purposes of the organization, or to raise funds or obtain resources necessary for the operation of the organization, that the organization qualifies as an exempt organization under this section, and that the sales price of any single item of tangible personal property or vehicle purchased for purposes of raising funds or obtaining resources does not exceed the applicable cap amount established in subsection (2)(b). The transferee shall also provide to the transferor a copy of the federal exemption letter. However, a copy of the federal exemption letter is not required if the organization is exempt from filing an application for exempt status with the ~~internal revenue service.~~ **Internal**



1 **Revenue Service.**

2 (4) The letter provided under subsection (3)(a) and the
 3 statement with the accompanying letter provided under subsection
 4 (3)(b) shall be accepted by all courts as prima facie evidence of
 5 the exemption and the statement ~~shall~~**must** provide that if the
 6 claim for tax exemption is disallowed, the transferee will
 7 reimburse the transferor for the amount of tax involved.

8 (5) The tangible personal property under subsection (1) is
 9 exempt only to the extent that the property is used to carry out
 10 the purposes of the organization or to raise funds or obtain
 11 resources necessary to carry out the purposes of the organization
 12 as stated in the organization's bylaws or articles of
 13 incorporation. The exemption for purposes of carrying out the
 14 purposes of the organization as stated in its bylaws or articles of
 15 incorporation is limited to the percentage of exempt use to total
 16 use determined by a reasonable formula or method approved by the
 17 department. The exemption for any single item of tangible personal
 18 property or vehicle used to raise funds or obtain resources is
 19 limited to a sales price that does not exceed ~~\$5,000.00 for an~~
 20 ~~organization exempt under subsection (1)(a) or (b) and \$25,000.00~~
 21 ~~for an organization exempt under subsection (1)(c).~~**\$60,000.00 for a**
 22 **single item of tangible personal property and \$75,000.00 for a**
 23 **vehicle, adjusted for inflation as provided in subsection (6).**

24 (6) **At the end of each calendar year after the effective date**
 25 **of the amendatory act that added this subsection, the state**
 26 **treasurer shall adjust the amounts in subsections (2) and (5) by an**
 27 **amount determined by the state treasurer to reflect the cumulative**
 28 **annual percentage change in the Consumer Price Index. If the**
 29 **cumulative annual percentage change in the Consumer Price Index is**



1 negative, then the adjustment for that calendar year is zero. As
2 used in this subsection, "Consumer Price Index" means the most
3 comprehensive index of consumer prices available for this state
4 from the Bureau of Labor Statistics of the United States Department
5 of Labor.

6 Enacting section 1. This amendatory act takes effect 90 days
7 after the date it is enacted into law.